

NOVA CART: Problem Analysis

Understanding Fulfillment Bottlenecks & Customer Churn

35%

CANCELLATIONS FROM STOCKOUTS

61%

HIGH-VALUE USERS CHURNED

Primary Data & Evidence

- **Severe Order Cancellations (35%):** 35% of all cancellations happen because items listed as "Available" on the app are actually out of stock at physical partner stores.
- **Store Inventory Maintenance Friction:** 39% of store owners complain that catalog tools are too complex, leading them to update stock only once every 1–3 days.
- **High-Value User Loss (61% Churn):** 61% of users who abandoned NOVA CART previously gave 4★ or 5★ ratings. They left due to stockout frustration, not brand perception.
- **Wasted Acquisition Spend:** Spending ₹17 Lakhs/month acquiring users who leave permanently due to order fulfillment failures.

Solution: "Nova Sync & Local Hub"

Zero-Infrastructure Digital Solution • Budget: ₹8.5 Lakhs

Core Solution Components

- **Merchant 1-Click Sync Portal:** Replaces complex inventory forms with a 10-second "In Stock / Out of Stock" toggle on mobile, eliminating friction for shopkeepers.
- **Zero-Cancellation Engine:** Displays 100% real-time verified stock on the app, completely preventing out-of-stock checkouts.
- **Smart Local Alternative Routing:** If Store A is out of stock on an item, the platform automatically routes the missing product from Store B (200 meters away).
- **Cross-Category Bundling:** Enables combined checkouts (Groceries + Bakery + Pharmacy) in a single order to increase Average Order Value above ₹486.

Budget Allocation Breakdown

Allocated **₹8.5 Lakhs** out of the ₹25 Lakh budget limit for software integration, merchant training, and WhatsApp interactive alerts—leaving ₹16.5 Lakhs as financial runway.

Impact, Advantages & Risk Assessment

Projected Business Outcomes and Risk Mitigation Strategies

Projected Business Impact

Performance Metric	Current Baseline	Post-Implementation Target	Business Impact
Order Cancellation Rate	11%	2.4%	78% reduction in order cancellations
Support Tickets / Month	5,900	1,800	Saves ~₹4.2 Lakhs/month in support costs
Repeat Purchase Rate	27%	48%	Recovers high-value customer retention

Disadvantages, Risks & Mitigations

- **Merchant Adoption Risk:** Store owners might forget to update stock $\rightarrow$ *Mitigated via automated WhatsApp interactive prompts (e.g., "Is Milk in stock today? [YES] / [NO]").*
- **Peak Hour Inventory Drift:** Offline foot traffic can rapidly deplete shelves $\rightarrow$ *Mitigated via dynamic low-stock buffer alerts.*